SUMMARY OF THE "HEART SCORE ECONOMIC MODEL"

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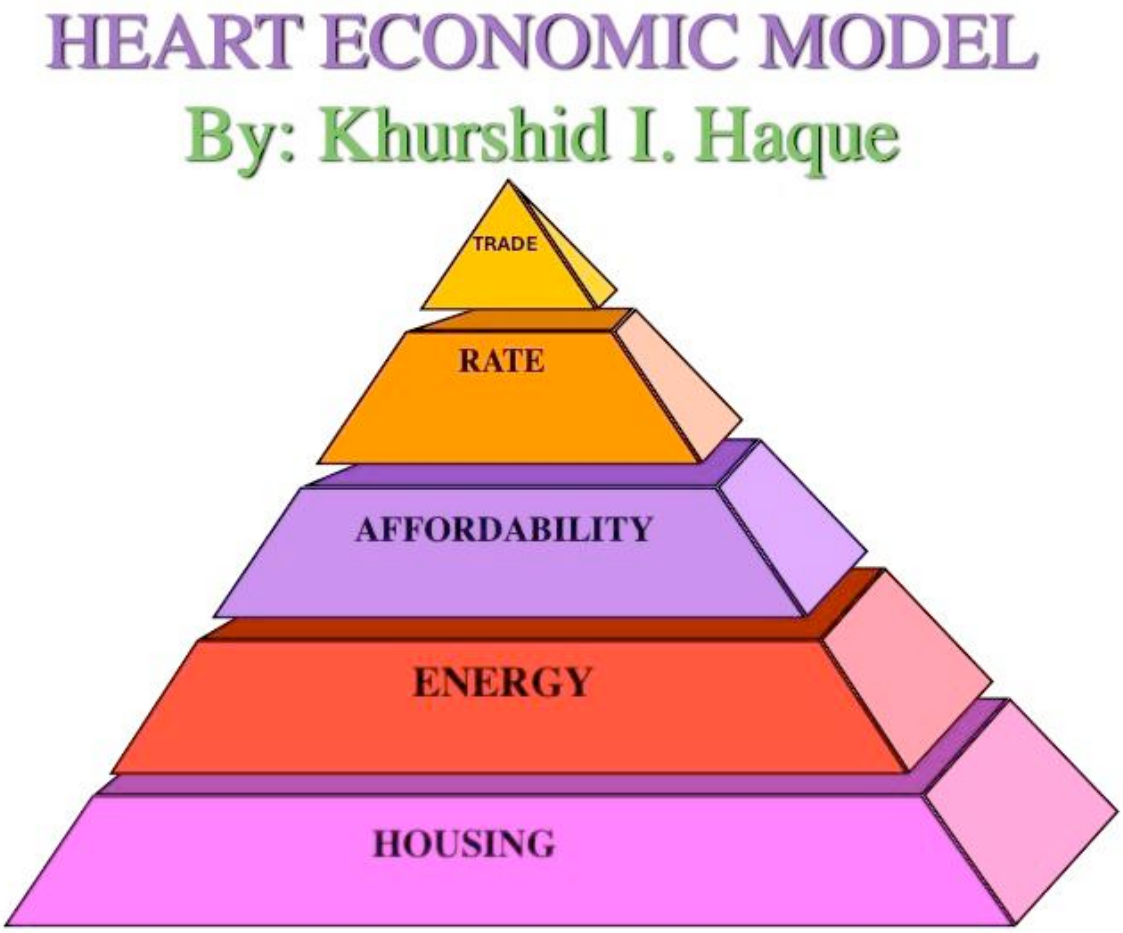

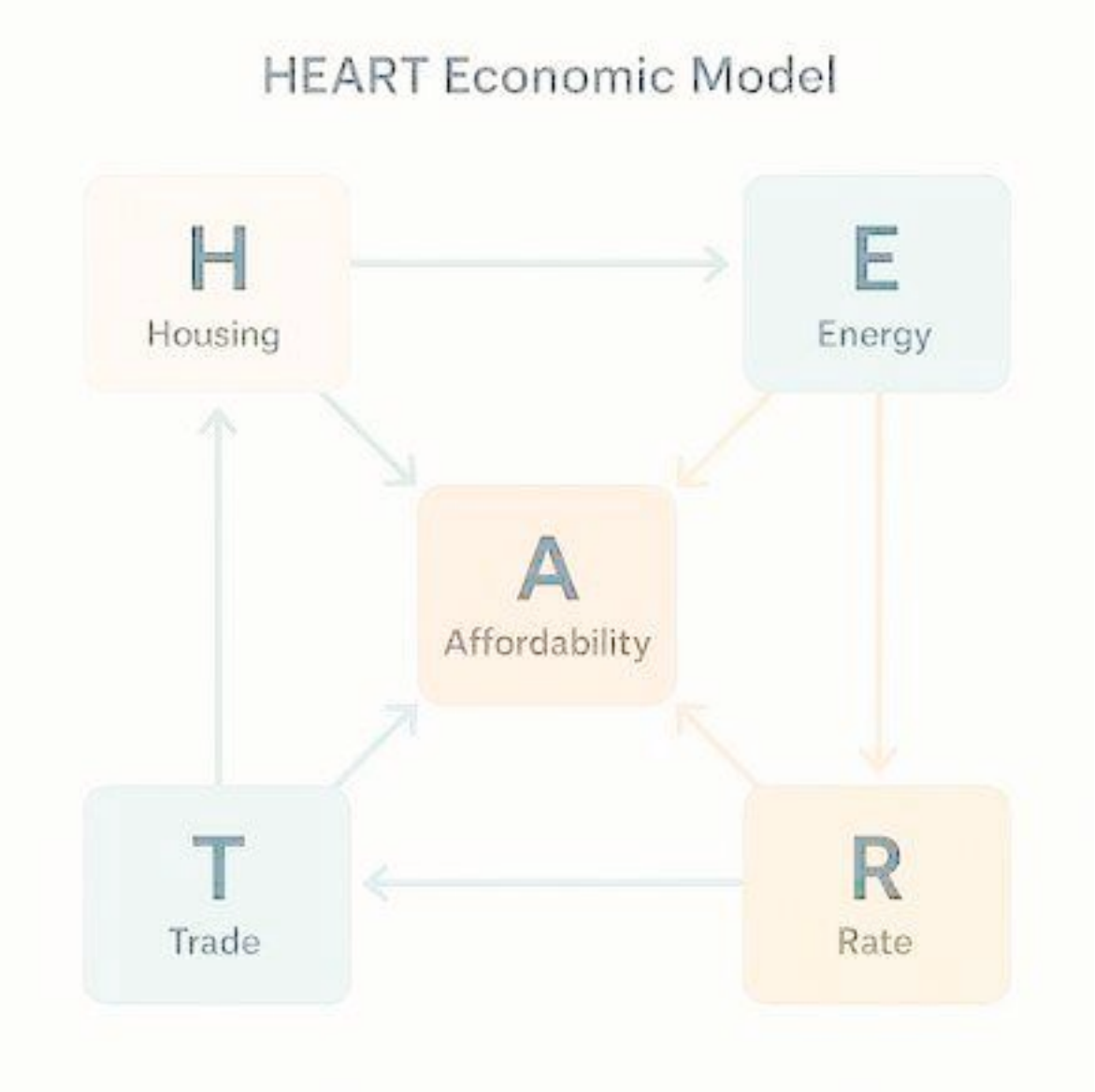
HEART Economic Model
H
Housing
E
Energy
A
Affordability
T
Trade
R
Rate

Introduction

Economic models form vital components that are used to explain the process of interaction between the individuals, the markets and the governments. They form a basis on how to interpret the trends, make decisions and predict the future. Traditional models, like Supply & Demand, the Keynesian, etc. are fundamental rule numbers-oriented and confined in notion.

In a nutshell, Traditional Economics Models.

1. Supply & Demand

Core Strengths: The model is quite simple to understand, it is highly generic and was used to base upon market analysis.

Weakness: It does not view large-scale macroeconomic setting, and it is assumed to be in perfect condition of competition.

2. Keynesian Economics

Strengths: Extremely applicable in cases of recessions; promotes economic stabilization that is led by governments.

Weaknesses: Discharging a burden on national sovereign debts can create itself and does not work very well at times of inflation.

It also suggests that though the created models might be an important source of insights, they frequently cannot describe the layered and interconnected type of the socio-economic environment that has undergone today. It is here where the "HEART" model can come in handy.

The HEART Score Economic Model: Multidimensional framework to measure the economic performance is an economic performance evaluation framework developed by **Khurshid Imtiaz Ul Haque**. The HEART model considers both macroeconomic and human development indicators to determine inclusivity, sustainability, and social equity in contrast to the conventional models that only measure GDP or prices (e.g., the classic theories as mentioned above such as the Supply and Demand Model, the Keynesian Model, among others concentrate on the price dynamics, the market equilibrium and government regulation of the aggregate demand.).

As lucrative as these models might be, they tend not to capture the combined social and macro-economic facets of housing, healthcare, education, affordability and trade balance.

1. **Brief overview of the HEART Score Economic Model**

To fill the vacuum as highlighted above, the HEART Economic Model, created by Khurshid Imtiaz Ul Haque, is a compilation of the five pillars of economic performance:

H: Housing - Health

E: Energy + Education

A: Affordability

R: Rate (interest rate, inflation rate and GDP growth rate)

T: Trade (trade, tariffs, taxes, trade balance)

This model involves both qualitative & quantitative applications to both the developed and developing economies as well as the emerging economies. It focuses on where change is needed, seeking the reasons behind the problems and ways in which there is a solution to an array of problems such as affordability growth and economic quality.

2. **Important Component and Variables**

The model also incorporates various endogenous (GDP, affordability index, trade balance) and exogenous (change in policy, the global economic condition) variables.

Very briefly, Housing and Health show social infrastructure, Energy and Education show development of resources and human capital, Affordability is an indicator of purchasing power of citizens, Rate variable as a sign of macroeconomic stability and Trade as a measure of competitiveness.

3. **HEART SCORE System**

Khurshid has structured a scoring mechanism named as **"HEART SCORE"** which is the combination of "HEART VALUE" and "HEART AFFORDABILITY RANKING".

The HEART SCORE measures performance as the sum of the Housing, Health, Energy and Education contribution to GDP, augmented with global GDP market share, adjusted for trade surplus/deficit and interest payments GDP then multiplied or merged by Heart Affordability Ranking (graded A+ to D- depending on adjusted per capita income adjusted HDI).

Those are in alphanumerical format (e.g. 0.9A+ is strong; 0.1D- is weak).

4. **Judgment against the Traditional Models**

The HEART Model unifies size and quality of the economy unlike only relying on production or monetary policy approach. The GDP, GINI and HDI are combined with the view of affordability, giving the entire picture. This makes it more pertinent in long term sustainability and social upliftment compared to those that are purely based on output.

Quantification of Heart Score Economic Model

5. At the beginning, Khurshid has selected Economies of **G20 nations**, and performed their "Heart Score" using Empirical data,mathematical and statistical tools.
6. **Example Insights & Some Initial Findings**

Example:

- The USA, which is the largest economy in the world (GDP greater than USD 30.5 trillion), received a score of 0.65A because of huge debt levels compared to GDP (124%) and trade deficit.

- Lower debt ratio (~80%) and massive trade surplus (~6.5%), and a substantial GDP (~USD 19 trillion) gave China a score of 0.73D+, which is weaker in affordability but stronger in resilience.

Further Explanation

Why has Saudi Arabia been ranked as the top-performing economy among all G20 nations, despite the United States having the largest nominal GDP?

- Although the United States remains the largest economy in the world in terms of nominal GDP, our analysis ranks Saudi Arabia as the top-performing economy among all G20 nations based on the HEART Score.
- Saudi Arabia achieved a HEART Score of 0.76C, placing it at the top due to its significant allocation of nearly 26% of its GDP towards health, one of the largest energy provider of the world with a focus to diversify the economy away from oil energy, a very low debt-to-GDP ratio, and a substantial trade surplus, high liquid sovereign funds (USD 600 Billions with Public Investment Fund), all of which contribute to strong economic resilience and sustainability. Still, Affordability ranking of C means KSA needs to do more towards social equity.
- **China follows with a HEART Score of 0.73 (D+),** reflecting its strong trade capacity and investments in infrastructure and education.
- **As mentioned above, The United States ranks third**, with a **HEART Score of 0.65A**, supported by its economic scale and innovation leadership, despite challenges related to debt and Trade Deficit.

Why does India rank lowest among all G20 nations despite being the 5th largest economy in terms of nominal GDP?

- India ranks lowest (0.17D-) due to its very low per capita income and limited investment in key areas such as health, housing, education, and energy**.** In addition, the country faces a high debt-to-GDP ratio and a significant trade deficit**,** both of which contribute to economic vulnerability and reduce its overall HEART Score performance. This is an indication that for immediate short term, the leadership and policy makers should strive to make India an inclusive economy.

7. Strong Points and Uses

The model can underpin policy-making, investment policies and socio-economic planning. Its consolidated scoring enables benchmarking to compare different countries & their Economies, see where progress needs to be made, and also incorporate AI/ machine learning to enable predictive analysis.

Applications

- The prioritization of the policy and assignment of budgets to sectors that have the most potential results (UN, Central Banks for refined Monetary Policy decisions, Multilateral Banks; Commercial Banks for sectoral allocation of resources and funding as an example).
- Disaster planning and poverty targeting GIS (Geographic Information System) mapping.
- Early-warning mechanisms to solve the problem of deteriorations in key indicators.
- Compare Economies and indictors at all levels (national, sovereign, regional, continental etc.,) for informed economic policy decision making.
- Forecasting policy outcomes (supported by descriptive, diagnostic, predictive, and prescriptive analysis) and policy simulators based on analytics integration (useful for research institutions and academia, think tanks and advocacy groups etc.,)

Future improvements:

- Real time data-driven AI dashboards.
- Blockchain on transparent and immutable data.

- Combination of big data sources (mobile, satellite, social media).
- Proactive policy-making such as Predictive Modelling (to forecast future economic performance on the basis of historical numbers) besides ability to undergo in-depth Descriptive, Diagnostic and Perspective analysis as also mentioned above.

Conclusion:

The Economic Model of the HEART Score depicts a paradigm break in the mode of measuring the economic performance. In contrast to the GDP-focused methods, it takes into account both the pace and quality of the economic growth due to the integration of macroeconomic and social well-being statistics. This helps policy makers to not only keep track of economic growth, but also evaluate the degree to which it is distributed among the citizens, and in case it is sustainable in the long term.

Its multidimensionality- in terms of housing, health, education, affordability, fiscal stability and any trade balance (+-) means that economic success is interpreted through the perspective of human development, equity and resilience. The consideration of an affordability aspect is especially important, because it is a way to understand whether basic services are available to common citizens or not and avoid the destructive interpretations by the presence of high GDP and poor living standards.

In practice, the HEART model provides governments with a decision-support tool where it is possible to develop special policy interventions, where the resources might be allocated to both sides without misunderstanding and monitoring the progress is possible in a constant way on the national and regional levels. In addition, the possibility of the model to locate both positive and negative interrelations will help create a systemic approach to solve problems without using a set of isolated policy solutions to resolve the problem at hand.

In our current analysis, the **HEART Score was calculated for G20 nations**, which together account for approximately **80% of global GDP and 57% of the world's population**. This sample provides significant insights, yet also exposes a critical concern: the **disproportionate concentration of global wealth** in a few economies, leaving much of the global population economically marginalized. Such imbalance is unsustainable. The **United Nations**, as a global institution, must act not only through financial means but also through **in tangible interventions** such as knowledge sharing, capacity building, and inclusive policy advocacy to help bridge this widening gap.

This model will be updated through the combination of AI and subsequent analysis of big data, blockchain, thus becoming more accurate, more transparent and more responsive, with the possibility of prompt adjustments and planning. This not only positions the HEART model as a framework to evaluate, but also as a roadmap in realizing inclusive, sustainable and equitable development in this 21st century.

At last but not the least it is worth mentioning to highlight that major Economic Indictors like GDP,GINI and HDI as an example have been using by the Economic world for the last many decades and there was a need to have a fresh Economic perspective in line with the emergence of Artificial Intelligence for which "HEART" would be considered a unique vision equipped with necessary tools to assess the Economic Performance of the UN member countries in a difference way focusing majorly on human aspect of the particular nation.

The author /owner, **Khurshid Imtiaz ul Haque**, is committed to continuously refining the HEART SCORE ECONOMIC MODEL to ensure it remains relevant, evidence-based, and capable of adding significant value to economic analysis and policymaking frameworks.

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